

BUSINESS ACQUISITION REPORT

Item 1 Identity of Company

1.1 Name and Address of Company

Clean Power Capital Corp. (formerly Organic Flower Investments Group Inc.)
("Clean Power" or the "Company")

Head Office:

Suite 810 - 789 West Pender Street
Vancouver, British Columbia V6C 1H2

Registered and Records Office:

Suite 810 - 789 West Pender Street
Vancouver, British Columbia V6C 1H2

1.2 Executive Officer

The following individual is knowledgeable about the particulars described in this business acquisition report.

Johannes (Theo) van der Linde, Director
604-687-2038

Item 2 Details of Acquisition

2.1 Nature of Business Acquired

On October 28, 2020, the Company announced that it completed an investment in PowerTap Hydrogen Fueling Corp. ("PowerTap") by acquiring a 90% equity interest. The investment in PowerTap is aligned with the Company's investment policy, which was previously amended and restated to include the renewable energy sector as an area of focus for the Company.

PowerTap is a developer of hydrogen fueling technology and hydrogen fueling stations. Hydrogen fuel is an alternative fuel for motor vehicles powered by hydrogen fuel. Hydrogen powered vehicles are alternatives to traditional vehicles that are powered by gas or diesel. PowerTap is currently developing a hydrogen fueling station network in stages, consisting of engineering & design; ongoing development of its technology; and permitting and site preparation. Subject to the progress of this initial stage, the remaining stages of development and initial manufacturing are expected to start thereafter.

The nature of the business acquired is more fully described in the press releases of the Company dated October 28, 2020; November 18, 2020; and December 1, 2020, all filed on SEDAR at www.sedar.com under the Company's SEDAR profile.

2.2 Acquisition Date

The acquisition of the 90% interest in PowerTap was completed on October 28, 2020.

2.3 Consideration

The consideration paid consisted of an aggregate of 106,210,708 common shares in the capital of the Company (the "Consideration Shares") at a deemed value of CA\$0.30 per Consideration Share. The Vendors are arm's-length to one another and none of whom, individually holds 10% or more of the issued and outstanding shares of the Company on a non-diluted basis.

2.4 Effect on Financial Position

Following the investment in PowerTap, the Company became a parent of PowerTap, owning 90% of the subsidiary. Since closing, the Company has continued its business as an investment issuer and PowerTap has continued its business as a developer of hydrogen fueling technology. The Company views PowerTap as an investment in the renewable energy sector, and may seek additional investment opportunities in this sector in the future, to add to the Company's portfolio of assets.

Any further investments in PowerTap remain subject to PowerTap's successful advancement of the development of its business, factors of which included, without limitation, the timing of PowerTap's achievements towards its stages of development, the cost of each stage, the general development of the hydrogen fueling industry, and the availability of funding.

2.5 Prior Valuations

To the knowledge of the Company, there has not been any valuation opinion obtained within the last twelve months by PowerTap or the Company. A valuation of the investment in PowerTap was not required by securities legislation or a Canadian exchange or market to support the consideration paid by the Company for the investment.

2.6 Parties to Transaction

The investments was not with an "informed person" (as such term is defined in Section 1.1 of National Instrument 51-102 -- Continuous Disclosure Obligations), associate or affiliate of the Company.

2.7 Date of Report

January 11, 2020.

Item 3 Financial Statements and Other Information

To address the requirements of Part 8 of National Instrument 51-102, attached hereto as Appendix A to this Business Acquisition Report are the following:

- Audited f/s for the period from incorporation on March 30, 2020 to September 30, 2020

Shim & Associates LLP Chartered Professional Accountants has given its consent to the inclusion of their audit report(s) in this Business Acquisition Report.

CAUTIONARY STATEMENT REGARDING FORWARD-LOOKING INFORMATION:

This document contains "forward-looking statements" or "forward-looking information" (collectively referred to herein as "forward-looking statements") within the meaning of applicable securities legislation. Such forward-looking statements include, without limitation, forecasts, estimates, expectations and objectives for future operations that are subject to a number of assumptions, risks and uncertainties, many of which are beyond the control of the Company. Some assumptions include, without limitation, the development of hydrogen powered vehicles by vehicle makers, the adoption of hydrogen powered vehicles by the market, and legislation and regulations favoring the use of hydrogen as an alternative energy source. Forward-looking statements are statements that are not historical facts and are generally, but not always, identified by the words "expects", "plans", "anticipates", "believes", "intends", "estimates", "projects", "potential" and similar expressions, or that events or conditions "will", "would", "may", "could" or "should" occur or be achieved. This document contains forward-looking statements pertaining to, among other things, the timing and ability of the Company to complete any potential financings, if at all, and the timing thereof. Forward-looking information is based on current expectations, estimates and projections that involve a number of risks, which could cause actual results to vary and, in some instances, to differ materially from those anticipated by the Company and described in the forward-looking information contained in this press release.

Although the Company believes that the material factors, expectations and assumptions expressed in such forward-looking statements are reasonable based on information available to it on the date such statements were made, no assurances can be given as to future results, levels of activity and achievements and such statements are not guarantees of future performance. The forward-looking information contained in this document is expressly qualified by the foregoing cautionary statements and is made as of the date of this document. Except as may be required by applicable securities laws, the Company does not undertake any obligation to publicly update or revise any forward-looking information to reflect events or circumstances after the date of this document or to reflect the occurrence of unanticipated events, whether as a result of new information, future events or results, or otherwise.

Appendix A

PowerTap Hydrogen Fueling Corp.

FINANCIAL STATEMENTS

**FOR THE PERIOD FROM INCORPORATION ON MARCH 30, 2020
TO SEPTEMBER 30, 2020**

(Expressed in US Dollars)



INDEPENDENT AUDITOR'S REPORT

To the Shareholders of PowerTap Hydrogen Fueling Corp.

Opinion

We have audited the accompanying financial statements of PowerTap Hydrogen Fueling Corp. (the "Company"), which comprise the statement of financial position as at 30 September 2020, and the statements of loss and comprehensive loss, changes in shareholders' deficiency and cash flows for the period from the date of incorporation on 30 March 2020 to 30 September 2020, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 30 September 2020, and its financial performance and cash flows for the period from the date of incorporation on 30 March 2020 to 30 September 2020 in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board ("IFRS").

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material Uncertainty Related to Going Concern

We draw attention to Note 1 of the financial statements, which indicates that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Other Information

Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information, and in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We are not aware of any other information at this time.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

The engagement partner on the audit resulting in this independent auditor's report is Dong H. Shim.

SHIM & ASSOCIATES LLP

CHARTERED PROFESSIONAL ACCOUNTANTS

Vancouver, Canada

11 January 2021

PowerTap Hydrogen Fueling Corp.
Statement of Financial Position
As at September 30, 2020
(Expressed in US dollars)

AS AT	Note	September 30, 2020
		\$
ASSETS		
Cash		134,080
NON-CURRENT ASSETS		
Intangible assets	3	2,419,758
Total assets		2,553,838
LIABILITIES		
Accounts payable and accrued liabilities	11	18,254
Due to a related party	6	2,152
Loan payable	4	2,838,199
		2,858,605
SHAREHOLDERS' DEFICIENCY		
Share capital	5	67
Contributed surplus	5	199,933
Deficit		(504,767)
		(304,767)
Total liabilities and shareholders' deficiency		2,553,838

NATURE AND CONTINUANCE OF OPERATIONS (Note 1)

COMMITMENT (Note 11)

SUBSEQUENT EVENT (Note 12)

Approved and authorized for issue by the board of directors on January 11, 2021 and signed on its behalf by:

/s/ Raghunath Kilambi

Raghunath Kilambi, Director

The accompanying notes are an integral part of these financial statements.

PowerTap Hydrogen Fueling Corp.
Statement of Loss and Comprehensive Loss
For the period from incorporation on March 30, 2020 to September 30, 2020
(Expressed in US dollars)

		For the period from incorporation on March 30, 2020 to September 30, 2020
	Note	\$
Amortization	3	30,242
Bank charges		75
Consulting fees	6	322,189
Foreign exchange loss		18,335
Interest expense	4	26,823
Office expenses		417
Professional fees		8,785
Research costs		90,000
Travel expenses		7,901
Loss and comprehensive loss for the period		(504,767)
Loss per share, basic and diluted		(0.08)
Weighted average number of shares outstanding - basic and diluted		6,666,667

The accompanying notes are an integral part of these financial statements.

PowerTap Hydrogen Fueling Corp.

Statement of Changes in Shareholders' Deficiency

For the period from Incorporation on March 30, 2020 to September 30, 2020

(Expressed in US dollars)

	Number of Shares	Share Capital	Contributed Surplus	Deficit	Total
		\$	\$	\$	\$
Incorporation, on March 30, 2020	6,666,667	67	199,933	-	200,000
Loss for the period	-	-		(504,767)	(504,767)
Balance, September 30, 2020	6,666,667	67	199,933	(504,767)	(304,767)

The accompanying notes are an integral part of these financial statements.

PowerTap Hydrogen Fueling Corp.
Statement of Cash Flows
For the period from March 30, 2020 to September 30, 2020
(Expressed in US dollars)

	For the period from March 30, 2020 to September 30, 2020
Cash flows used in operating activities	\$
Loss for the period	(504,767)
Accrued interest expense	26,823
Amortization	30,242
Foreign exchange	17,767
Net changes in non-cash working capital:	
Accounts payable and accrued liabilities	18,254
Due to a related party	2,152
Net cash flows used in operating activities	(409,529)
Cash flows from financing activities	
Proceeds from share issuance	200,000
Proceeds from loan payable	2,793,609
Net cash flows from financing activities	2,993,609
Cash flows from investing activities	
Amounts paid for intangible assets	(2,450,000)
Net cash flows used in financing activities	(2,450,000)
Net increase in cash	134,080
Cash, beginning of the period	-
Cash, ending of the period	134,080

Supplemental disclosure with respect to cash flows (Note 10)

The accompanying notes are an integral part of these financial statements.

PowerTap Hydrogen Fueling Corp.

Notes to the Financial Statements

For the period from Inception on March 30, 2020 to the period ended September 30, 2020

Expressed in US Dollars, unless otherwise stated

1. NATURE AND CONTINUANCE OF OPERATIONS

PowerTap Hydrogen Fueling Corp. (the “Company” or “PowerTap”) was incorporated on March 30, 2020, in the State of Nevada. On November 10, 2020, the Company changed its name to PowerTap Hydrogen Fueling Corp. from Hydrogen Fueling Corp. The Company is engaged in the business of designing hydrogen refueling infrastructure by implementing established, cost effective, hydrogen fueling infrastructure, intellectual property and product design technology. PowerTap is leading the charge to build out cost-effective hydrogen fuelling infrastructure through its environmentally friendly intellectual property, product design for the modularized and lowest-tier production cost of hydrogen, and launch plan.

The corporate registered and records offices of the Company are located at 2402 San Joaquin Plaza, Newport Beach, CA 92660 USA.

a) Statement of compliance

These financial statements have been prepared in accordance with International Financial Reporting Standards (“IFRS”), as issued by the International Accounting Standards Board (“IASB”) and interpretations of the International Financial Reporting Issues Committee (“IFRIC”). The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

b) Basis of measurement

These financial statements have been prepared on a historical cost basis except for certain financial instruments which are measured at fair value. In addition, these financial statements have been prepared using the accrual basis of accounting, except for cash flow information. The functional currency of the Company is the US dollar. The presentation currency of these financial statements is the US dollar. Certain comparative figures have been reclassified to conform to the current period’s presentation.

c) Going concern

These financial statements have been prepared on a going concern basis, which presumes that the Company will be able to realize its assets and discharge its liabilities in the normal course of business in the foreseeable future. During the period ended September 30, 2020, the Company had net losses of \$504,767 and had working capital deficiency of \$2,724,525 as at September 30, 2020. The Company anticipates that losses will be incurred in future periods. The Company’s ability to continue as a going concern and meet its corporate objectives will require additional financing through debt or equity issuances or other available means. There is no assurance that the Company will be able to obtain adequate financing in the future or that such financing will be available on terms advantageous to the Company. These conditions indicate the existence of material uncertainties that may cast significant doubt about the Company’s ability to continue as a going concern. These financial statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts and classification of liabilities that might be necessary should the Company be unable to continue its existence.

Since March 2020, several measures have been implemented in the United States and the rest of the world in response to the increased impact from novel coronavirus (COVID-19). The Company continues to operate its business at this time. While the impact of COVID-19 is expected to be temporary, the current circumstances are dynamic and the impacts of COVID-19 on business operations cannot be reasonably estimated at this time. The Company anticipates this could have an adverse impact on its business, results of operations, financial position and cash flows in 2020 and 2021.

PowerTap Hydrogen Fueling Corp.

Notes to the Financial Statements

For the period from Inception on March 30, 2020 to the period ended September 30, 2020

Expressed in US Dollars, unless otherwise stated

2. SIGNIFICANT ACCOUNTING POLICIES

a) Significant accounting judgments and estimates

The preparation of these financial statements requires management to make estimates and assumptions that affect the reported amount of assets and liabilities, and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amount of revenue and expenses during the reporting periods. Such estimates relate primarily to unsettled transactions and events as of the date of the financial statements. Actual results could differ materially from those reported.

Significant assumptions about the future and other sources of judgments and estimates that management has made at the statement of financial position date, that could result in material adjustment to the carrying amounts of assets and liabilities, in the event that actual results differ from assumptions made, relate to, but are not limited to, the following:

- The provision of deferred tax is based on judgments in applying income tax laws and estimates on timing, likelihood and reversal of temporary differences between the accounting and tax basis of the assets and liabilities;
- The determination of the useful life of the Company's intangible assets; and
- The determination of whether the Company will continue as a going concern.

b) Functional currency

The functional currency of these financial statements is the US Dollar.

c) Cash and Cash Equivalents

Cash and cash equivalents include cash at banks and on hand, and other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value.

d) Intangible assets

Intangible assets are recorded at cost less accumulated amortization and any impairment losses. Amortization of definite life intangibles is calculated on a straight-line basis over their estimated useful lives, which do not exceed the contractual period, if any, over the following terms:

PowerTap Assets – Useful life of 10 years

The estimated useful lives, residual values and amortization methods are reviewed annually and any changes in estimates are accounted for prospectively. Intangible assets with an indefinite life or not yet available for use are not subject to amortization.

Research costs are expensed as incurred. Development expenditures are capitalized only if development costs can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Company intends to and has sufficient resources to complete development to use or sell the asset. Other development expenditures are recognized as research and development expenses on the consolidated statement of comprehensive loss as incurred. Capitalized deferred development costs are internally generated intangible assets.

PowerTap Hydrogen Fueling Corp.

Notes to the Financial Statements

For the period from Inception on March 30, 2020 to the period ended September 30, 2020

Expressed in US Dollars, unless otherwise stated

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

e) Loss per share

Basic earnings (loss) per share is computed by dividing the net income (loss) for the period by the weighted average number of common shares outstanding during the period. To compute diluted earnings (loss) per share, adjustments are made to common shares outstanding. The weighted average number of common shares outstanding is adjusted to include the number of additional common shares that would be outstanding if, at the beginning of the period or at time of issuance, if later, all options and warrants were exercised. The proceeds from exercise would be used to purchase the Company's common shares at their average market price during the period. If this computation is anti-dilutive, diluted loss per share is the same as basic loss per share.

f) Income taxes

Income tax is recognized in profit or loss except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity. Current tax expense is the expected tax payable on the taxable income for the period, using tax rates enacted or substantively enacted at period end, adjusted for amendments to tax payable with regards to previous years.

Deferred tax is recorded using the liability method, providing for temporary differences, between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: goodwill not deductible for tax purposes; the initial recognition of assets or liabilities that affect neither accounting nor taxable loss; and differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the statement of financial position date.

A deferred tax asset is recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. To the extent that the Company does not consider it is probable that a future tax asset will be recovered, it does not recognize the asset.

Additional income taxes that arise from the distribution of dividends are recognized at the same time as the liability to pay the related dividend. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

PowerTap Hydrogen Fueling Corp.
Notes to the Financial Statements
For the period from Inception on March 30, 2020 to the period ended September 30, 2020
Expressed in US Dollars, unless otherwise stated

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

g) Financial instruments

The following is the Company's new accounting policy for financial instruments under IFRS 9:

Classification

The Company classifies its financial instruments in the following categories: at fair value through profit and loss ("FVTPL"), at fair value through other comprehensive loss ("FVTOCI") or at amortized cost. The Company determines the classification of financial assets at initial recognition. The classification of debt instruments is driven by the Company's business model for managing the financial assets and their contractual cash flow characteristics. Equity instruments that are held for trading are classified as FVTPL. For other equity instruments, on the day of acquisition the Company can make an irrevocable election (on an instrument-by-instrument basis) to designate them as at FVTOCI. Financial liabilities are measured at amortized cost, unless they are required to be measured at FVTPL (such as instruments held for trading or derivatives) or if the Company has opted to measure them at FVTPL.

The following table shows the classifications under IFRS 9:

Financial assets/liabilities	Classification IFRS 9
Cash	FVTPL
Accounts payable and accrued liabilities	Amortized cost
Due to a related party	Amortized cost
Note payable	Amortized cost

Measurement

Financial assets and liabilities at amortized cost

Financial assets and liabilities at amortized cost are initially recognized at fair value plus or minus transaction costs, respectively, and subsequently carried at amortized cost less any impairment.

Financial assets and liabilities at FVTPL

Financial assets and liabilities carried at FVTPL are initially recorded at fair value and transaction costs are expensed in the statements of loss and comprehensive loss. Realized and unrealized gains and losses arising from changes in the fair value of the financial assets and liabilities held at FVTPL are included in the statements of loss and comprehensive loss in the period in which they arise. Where management has opted to recognize a financial liability at FVTPL, any changes associated with the Company's own credit risk will be recognized in other comprehensive loss.

Equity instruments designated as FVTOCI

On initial recognition, the Company may make an irrevocable election (on an instrument-by-instrument basis) to designate investments in equity instruments that would otherwise be measured at fair value through profit or loss to present subsequent changes in fair value in other comprehensive income. Designation at FVTOCI is not permitted if the equity investment is held for trading or if it is contingent consideration recognized by an acquirer in a business combination. Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognized in other OCI. The cumulative gain or loss is not reclassified to profit or loss on disposal of the equity instrument, instead, it is transferred to retained earnings. The Company does not currently hold any equity instruments designated as FVTOCI.

PowerTap Hydrogen Fueling Corp.

Notes to the Financial Statements

For the period from Inception on March 30, 2020 to the period ended September 30, 2020

Expressed in US Dollars, unless otherwise stated

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

f) Financial instruments (Continued)

Impairment of financial assets at amortized cost

The Company recognizes a loss allowance for expected credit losses on financial assets that are measured at amortized cost. At each reporting date, the Company measures the loss allowance for the financial asset at an amount equal to the lifetime expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition. If at the reporting date, the financial asset has not increased significantly since initial recognition, the Company measures the loss allowance for the financial asset at an amount equal to the twelve month expected credit losses. The Company shall recognize in the statements of comprehensive loss, as an impairment gain or loss, the amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recognized.

Derecognition

Financial assets

The Company derecognizes financial assets only when the contractual rights to cash flows from the financial assets expire, or when it transfers the financial assets and substantially all of the associated risks and rewards of ownership to another entity. Gains and losses on derecognition are generally recognized in the statements of loss and comprehensive loss.

Financial liabilities

The Company derecognizes financial liabilities only when its obligations under the financial liabilities are discharged, cancelled or expired. Generally, the difference between the carrying amount of the financial liability derecognized and the consideration paid and payable, including any non-cash assets transferred or liabilities assumed, is recognized in the statements of loss and comprehensive loss.

g) IFRS 16, Leases

This new standard replaces IAS 17 “Leases” and the related interpretative guidance. IFRS 16 applies a control model to the identification of leases, distinguishing between a lease and a service contract on the basis of whether the customer controls the asset being leased. For those assets determined to meet the definition of a lease, IFRS 16 introduces significant changes to the accounting by lessees, introducing a single, on-balance sheet accounting model that is similar to current finance lease accounting, with limited exceptions for short-term leases or leases of low value assets. Lessor accounting is not substantially changed. The standard is effective for annual periods beginning on or after January 1, 2019. As the Company does not have any leases, there was no impact upon adoption IFRS 16.

PowerTap Hydrogen Fueling Corp.

Notes to the Financial Statements

For the period from Inception on March 30, 2020 to the period ended September 30, 2020

Expressed in US Dollars, unless otherwise stated

3. INTANGIBLE ASSETS

On August 12, 2020, the Company entered into an Asset Purchase Agreement with Hydrogen-XT, Inc. whereby the Company acquired certain intellectual properties, including the DOE Applications, all product and industry due diligence and financial models, files, correspondence, records, data, plans, reports and recorded knowledge, including customer, supplier, price and mailing list, and all accounting and other books and records, for an aggregate purchase price of \$450,000.

On August 17, 2020, the Company entered into an Asset Purchase Agreement with Ivys Inc. whereby the Company acquired certain intellectual properties, including patents, goodwill, technical documentation, Government Approvals, previous license agreements, for an aggregate purchase price of \$2,000,000.

As a result, as at September 30, 2020, the Company holds various hydrogen assets in the form of intellectual property rights as follows:

Balance, March 30, 2020	\$ -
Intellectual properties	2,450,000
Amortization	(30,242)
Balance, September 30, 2020	\$ 2,419,758

4. LOAN PAYABLE

On August 12, 2020 (the “Effective Date”), the Company entered into a loan agreement with Clean Power Capital Corp. (formerly Organic Flower Investments Group Inc.) (“Clean Power”) where the Company will borrow an aggregate principal amount of up to CDN \$4,500,000 to be used for ongoing capital and operational expenditures related to the ongoing development of hydrogen fueling and refueling stations and technology. The funds received from Organic Flower will accrue interest at 8% per annum.

- Primary Drawdown, on the Effective Date: CDN \$950,000
- Primary Drawdown, on or before August 14, 2020: CDN \$2,550,000
- Secondary Drawdown, 30 days from the Effective Date, CDN \$500,000
- Tertiary Drawdown, 60 days from the Effective Date, CDN \$500,000

The Primary Drawdown matures 365 days from the Effective date, the Second Drawdown matures 365 days from the Effective Date, and the Tertiary Drawdown matures 426 days from the Effective Date, all subject to extension upon mutual agreement.

During the period ended September 30, 2020, the Company received total funds of CDN \$3,750,000 pursuant to the loan agreement with Clean Power and recorded interest expense of \$26,823 (CDN \$35,425) on the loan. As at September 30, 2020, the notes payable balance is \$2,838,199.

Clean Power may elect, at its sole discretion, to: (i) require the repayment of the loan, or (ii) convert the principal amount of the Primary Drawdown and accrued interest outstanding into a 10% equity interest of the Company, convert the principal amount of the Secondary Drawdown and accrued interest outstanding into an additional 1.5% equity interest in the Company; and convert the principal amount of the Tertiary Drawdown and accrued interest outstanding into a final 1.5% equity interest in the Company.

The Company also granted Clean Power an option to acquired 90% equity interest in the Company for a period of 90 days from the Effective Date (the “Option”). The exercise price to acquire the 90% equity interest in the Company was equal to 48% of Clean Power’s issued and outstanding common shares after the exercise of the Option (Note 12).

PowerTap Hydrogen Fueling Corp.

Notes to the Financial Statements

For the period from Inception on March 30, 2020 to the period ended September 30, 2020

Expressed in US Dollars, unless otherwise stated

5. SHARE CAPITAL

Authorized – 100,000,000 common shares with a par value of \$0.00001.

Shares issued during the period ended September 30, 2020:

On March 30, 2020, the Company issued 6,666,667 common shares to founders of the Company for \$200,000 on incorporation.

6. RELATED PARTY TRANSACTIONS

During the period ended September 30, 2020, the Company incurred \$139,000 in consulting fees to the Chief Executive Officer and a director of the Company.

At September 30, 2020, the Company owed \$2,152 to a company controlled by the Chief Executive Officer and a director of the Company.

7. FINANCIAL INSTRUMENTS

The Company's financial instruments consist of cash, accounts payable and accrued liabilities, due to a related party, and notes payable. Unless otherwise noted, it is management's opinion that the Company is not exposed to significant interest, currency or credit risks arising from these financial instruments.

Credit risk

Credit risk is the risk of potential loss to the Company if the counterparty to a financial instrument fails to meet its contractual obligations. The Company's credit risk is primarily attributable to its liquid financial assets including cash. The Company limits its exposure to credit risk on liquid financial assets through maintaining its cash with high-credit quality financial institutions. The credit risk is considered low.

Currency risk

The Company does not have significant financial assets and liabilities denominated in foreign currencies. Management monitors its foreign currency balances and makes adjustments based on anticipated need for currencies. The Company does not engage in any hedging activities to reduce its foreign currency risk.

Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its obligations associated with its financial liabilities. The Company has historically relied upon equity financings to satisfy its capital requirements and will continue to depend heavily upon equity capital to finance its activities. There can be no assurance the Company will be able to obtain required financing in the future on acceptable terms. The Company anticipated it will need additional capital in the future to finance ongoing operations, such capital to be derived from the exercise of outstanding warrants and/or the completion of other equity financings. The Company has limited financial resources, has no source of operating income and has no assurance that additional funding will be available to fund its beverage operations, although the Company has been successful in the past in financing its activities through the sale of equity securities.

The ability of the Company to arrange additional financing in the future will depend, in part, on the prevailing capital market conditions and operational success.

Interest rate risk

The Company does not have any interest-bearing financial assets. The interest on the Company's loan payable is fixed at 8% per annum. Fluctuation in the market interest rates will not have any significant effect on the Company's financial statements.

PowerTap Hydrogen Fueling Corp.
Notes to the Financial Statements
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7. FINANCIAL INSTRUMENTS (CONTINUED)

Fair value measurements of financial assets and liabilities

The Company believes that the recorded values of its accounts payable and accrued liabilities, due to a related party, and loan payable, approximate their current fair values because of their nature and relatively short maturity dates or durations.

Financial instruments measured at fair value are classified into one of three levels in the fair value hierarchy according to the relative reliability of the inputs used to estimate the fair values. The three levels of the fair value hierarchy are:

- Level 1 – Unadjusted quoted prices in active markets for identical assets or liabilities;
- Level 2 – Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly; and
- Level 3 – Inputs that are not based on observable market data.

Cash is considered a Level 1 financial instrument.

8. INCOME TAXES

The differences between tax recovery for the 2020 period ended, and the expected income tax recovery based on statutory rates arise as follows:

	September 30, 2020
Loss before income tax	\$ (504,767)
Expected tax recovery based on statutory rate of 27%	136,287
Change in deferred tax assets	(136,287)
Total income tax recovery	\$ -

As at September 30, 2020, the Company has accumulated net operating losses of \$494,942 for income tax purposes which may be deducted in the calculation of taxable income in future years expiring in 2040. The potential benefit of these net operating loss carry-forwards has not been recognized in these financial statements as it is not considered probable that sufficient future taxable profit will allow the deferred assets to be recovered. Tax attributes are subject to review, and potential adjustment, by tax authorities.

9. CAPITAL MANAGEMENT

The Company's capital structure consists of shareholders' equity. The Company's objective when managing capital is to maintain adequate levels of funding to support the development of its business and maintain the necessary corporate and administrative functions to facilitate these activities. This is done primarily through equity financing. Future financings are dependent on market conditions and there can be no assurance the Company will be able to raise funds in the future. The Company invests all capital that is surplus to its immediate operational needs in short-term, highly-liquid, high-grade financial instruments. There were no changes to the Company's approach to capital management since the period ended September 30, 2020. The Company is not subject to externally imposed capital requirements. The Company does not currently have adequate sources of capital for the development of its business, and will need to raise additional capital by obtaining equity financing through private placements or debt financing. The Company may raise additional debt or equity financing in the near future to meet its current obligations.

PowerTap Hydrogen Fueling Corp.**Notes to the Financial Statements****For the period from Inception on March 30, 2020 to the period ended September 30, 2020****Expressed in US Dollars, unless otherwise stated**

10. SUPPLEMENTAL DISCLOSURE WITH RESPECT TO CASH FLOWS

	For the period from March 30, 2020 to September 30, 2020
	\$
Income tax paid	-
Interest paid	-

11. COMMITMENT

During the period ended September 30, 2020, the Company entered into a one-year consulting agreement commencing August 2020. Included in accounts payable and accrued liabilities at September 30, 2020 is \$15,000 related to this consulting agreement. The remaining contractual obligation under this consulting agreement is \$105,000 ending in August 2021.

12. SUBSEQUENT EVENT

On October 27, 2020, Clean Power exercised its option to purchase shares of the Company. Upon the exercise, the Company's shareholders (collectively, the "Vendors") entered into a definitive agreement whereby Clean Power acquired 90% interest in the Company. The consideration paid to the Vendors consisted of an aggregate of 106,210,708 common shares in the capital of Clean Power (the "Consideration Shares"), under an 18-month escrow release program, at a deemed value of \$0.30 per Consideration Share. The Vendors are arm's-length to one another and none of whom, individually holds 10% or more of the issued and outstanding shares of Clean Power on a non-diluted basis. In connection with the acquisition, the loan previously advanced by Clean Power to the Company pursuant to the Letter of Intent, was converted into an 8% demand promissory note, payable to Clean Power (Note 4).